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SUCCESSION PLANNING
A Quick Guide

Brief explanations for the importance of each question answered by you as part of our survey on Succession Planning readiness for your loved ones.



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Do you know your current **Net Worth?**

Knowing your net worth helps to get a clear picture of your financial situation by showing the value of what you own (assets) and what you owe (liabilities).

It helps identify the value of assets and liabilities, providing insights into the overall financial health, which is essential when planning for wealth transfer or inheritance.

Net Worth = Assets - Liabilities

When you evaluate your net worth, you can also analyse whether all your assets are your real assets from a saleability and ownership perspective.

Only your **Net Worth** can be passed on to your future generations





Do you have physical control over all your immovable properties (land plots, buildings, etc.)?

At times, individuals buy real estate in a state different from where they originally belong. Sometimes, the property is occupied by family members, which can make managing it even more complicated. While owning such properties can be a smart investment, it can also create problems if proper care isn't taken.

If the property is not regularly visited or monitored, someone else might use it without your permission or even try to claim ownership. This is known as encroachment and can result in expensive legal battles.

Similarly, if family members are living in the property, there could be misunderstandings about who owns it or who has the right to use it, especially during succession planning.

To avoid these challenges, it's essential to have proper legal documents, like title deeds and rental agreements, and to stay involved in the property's management.

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Are all your property documents such as title deed, property tax, land tax etc. proper and up to date?

Proper documentation proving ownership titles is vital for proving the rightful ownership of assets like land and buildings. Without valid titles or legal documents, the process of transferring these properties to heirs or beneficiaries could be delayed or contested.

For a property to be your ASSET, it must first be SALEABLE

What can take a day or two for you to sort out might take years for your family to fix.

Hence, ensure that all documents such as title deeds, property tax receipts, land tax receipts, possession certificate etc. are in proper order and up to date.





Nominees are mere trustees to your assets and do not become the owner of the asset upon your passing

A Nominee's role is to receive and distribute the asset to your legal heirs (as per your Will / applicable Succession Law) and does not supersede the rights of other legal heirs.

NOMINEES ARE **NOT** YOUR **ONLY** LEGAL HEIRS





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Do you know how your wealth will be divided among your legal heirs under the Indian Inheritance Laws?

In the absence of a Will or any other Succession Plan, distribution of your assets in India shall be as per the Inheritance Laws applicable to you as per your religion.

HINDU	CHRISTIAN	MUSLIM
Hindu Succession Act, 1956	Indian Succession Act, 1925	Muslim Personal Law (Shariat) Application Act, 1937

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For Ex: Distribution of Assets of a Man on his Death under the Indian Inheritance Laws

HINDU	CHRISTIAN	MUSLIM

EQUALLY BETWEEN

HINDU	CHRISTIAN	MUSLIM
Wife	Wife - 1/3	Wife - 1/8
Children	Children 2/3	Mother - 1/6
Mother		Father - 1/6
		Remaining share to children in 2:1 ratio. Male children to receive twice the share of female children

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For Ex: Distribution of Assets of a Woman on her Death under the Indian Inheritance Laws

HINDU

EQUALLY BETWEEN



Husband



Children

CHRISTIAN



Husband
1/3



Children
2/3

MUSLIM



Husband
1/4



Mother - 1/6



Father - 1/6



Remaining share to children in 2:1 ratio. Male children to receive twice the share of female children

Inheritance Laws in India do not apply to your overseas investments

NRIs with overseas investments or assets must note that Inheritance Laws in India typically do not extend to foreign holdings. Instead, the inheritance of such assets is governed by the laws of the country where the investments are located.

Many people may overlook the need to consider local laws of the country where their overseas assets exist, which can lead to complications in transferring these assets to legal heirs.

Hence, it is also important to understand the cross-border legal implications at the time of succession planning.



Have you shared the details of your wealth with your spouse and children?



Transparency and Communication are key aspects of **Succession Planning**

Transparency and communication is vital for preventing misunderstandings or disputes in the future. Sharing details of one's wealth with immediate family members, such as spouse and children, ensures that they are informed and prepared to manage or inherit assets when the time comes. It also fosters trust and encourages open conversations about financial matters, which can be crucial in avoiding conflicts.

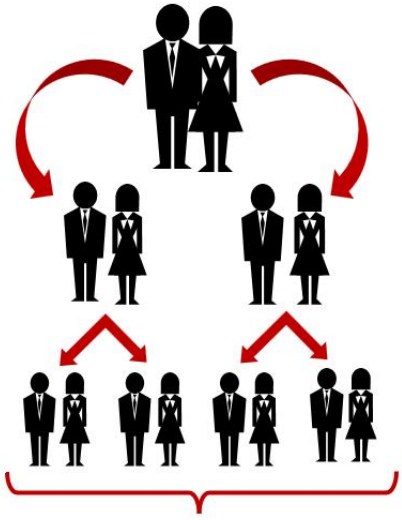
Additionally, involving family members in the process can help identify any gaps or concerns in the succession plan, allowing for timely adjustments.

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Have you prepared your Will or created a Private Family Trust?

Creating a Will or Family Trust or any other wealth transfer mechanism is fundamental to putting in place a protective mechanism for your assets. Consequences of not having a proper succession plan includes:

- Wealth distributed as provided in the applicable **Succession Act**
- Wealth passes on to **Unintended Beneficiaries**
- **Disputes** among family members regarding distribution of assets
- Could lead to long drawn **litigations,** which could drain family resources
- Wealth **managed unprofessionally** leading to deterioration



?

It is estimated that 70% of wealthy families lose their wealth by the second generation and 90% lose it by the third

Do you have a trusted friend or consultant who can act as an Executor / Trustee to manage the assets distributed to your family in your absence ?

The role of an Executor (for a Will) or Trustee (for a Trust) is crucial in managing and distributing assets and the effective administration of an individual's assets.

Having a trusted person or consultant in place to act as an Executor or Trustee ensures that the assets are handled responsibly and efficiently, and that the distribution process follows legal guidelines. It is important to choose someone who is not only trustworthy but also capable of handling any legal, financial, or family challenges that may arise during the administration of your estate.

Hence, it is important to think about who will take on this significant responsibility and whether you have someone reliable and competent to manage your affairs in your absence.





How can Truelegacy help in your Succession Planning?

We help design the best plan for YOU

- Design and Formation of Private Family Trust
- Drafting Wills that Align with Family Values
- Setting Up and Managing Family Offices
- Tax and Regulatory Compliances

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THANK YOU!

+91 7880 009 153 | info@truelegacy.in | shilpa@truelegacy.in